

Apple Inc.

AAPL

HOLD

HIGH CONVICTION

Last Price	\$307.34
DCF Fair Value	\$99.54
Implied	-67.6%

LAST	P/E	RSI	BETA	SHARPE	MAX DD	VAR 95%
\$307.34	37.25x	58.28	0.91	1.96	-13.82%	1.88%

1 Executive Summary

Apple trades at \$307.34, representing a 209% premium to its DCF fair value of \$99.54, creating a significant valuation disconnect. While the company demonstrates fortress-like fundamentals—a profit margin of 27.15%, return on equity of 141.47%, quarterly EPS growth of 19.40%, and revenue growth of 16.60%—current valuations have priced in near-perfect execution. Technical indicators are neutral to slightly positive, with the stock trading above its 50-day SMA of \$281.24 and 200-day SMA of \$265.19, though momentum shows signs of deceleration as the MACD of 8.46 has crossed below its signal line of 9.40. The valuation risk is asymmetric, with downside scenarios spanning from the bear case of \$81.32 to the bull case of \$123.99, all significantly below current market price, while upside potential is constrained near the 52-week high of \$315.20.

2 Company Overview

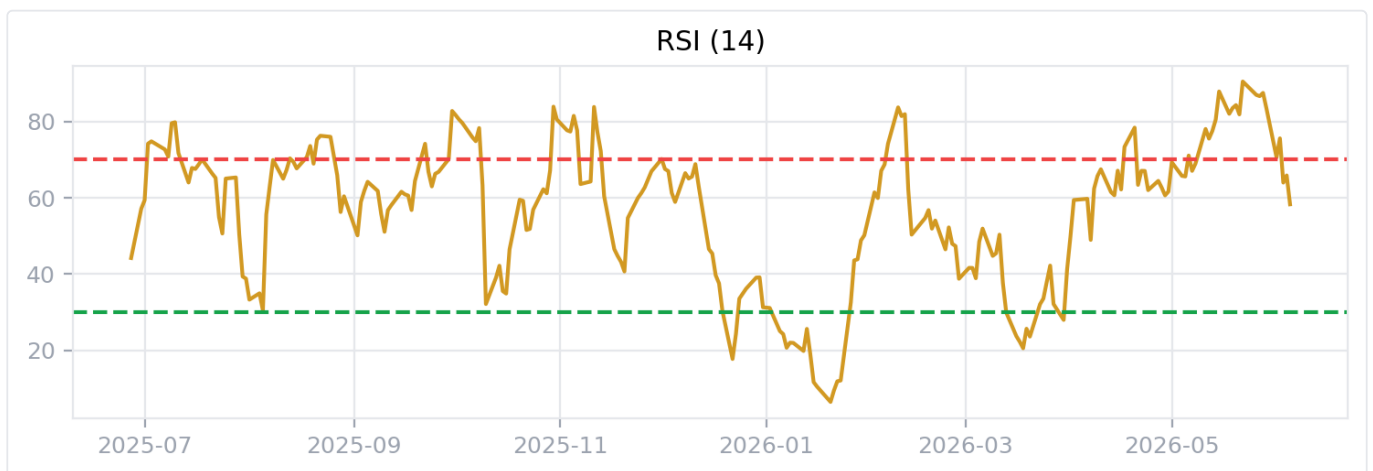
Apple remains one of the world's most profitable technology companies, evidenced by its market capitalization of \$4.51 trillion and exceptional operational metrics. The company's profit margin of 27.15%, return on equity of 141.47%, and consistent revenue growth of 16.60% reflect a well-managed, capital-efficient business. However, the current stock price of \$307.34 has created a valuation premium that significantly exceeds fundamental fair value across all discounted cash flow scenarios.

3 Technical Analysis

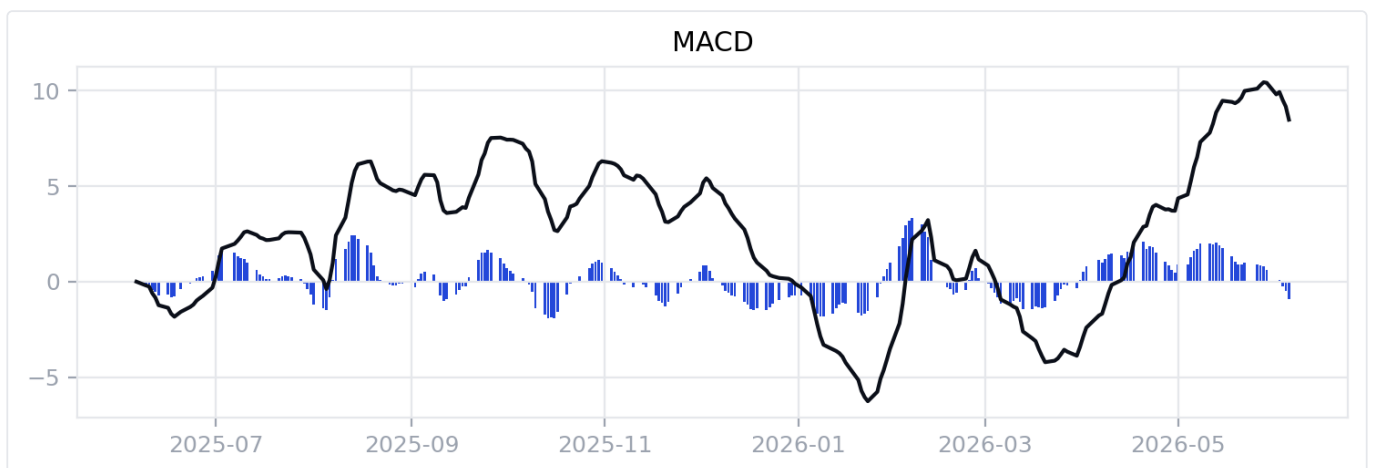
Apple's technical setup exhibits mixed signals. The stock trades above its 50-day SMA of \$281.24 and 200-day SMA of \$265.19, indicating sustained uptrend positioning, with an RSI of 58.28 showing neutral momentum neither overbought nor oversold. However, momentum is decelerating: the MACD of 8.46 has crossed below its signal line of 9.40, suggesting weakening bullish momentum. Price proximity to the Bollinger Upper Band of \$318.22 may constrain near-term upside, while the Average True Range of \$5.73 indicates moderate daily volatility. The slightly negative news sentiment of -0.06 adds a bearish tone to the technical backdrop.



Candlestick with SMA 50/200 and volume



Relative Strength Index (14-day)



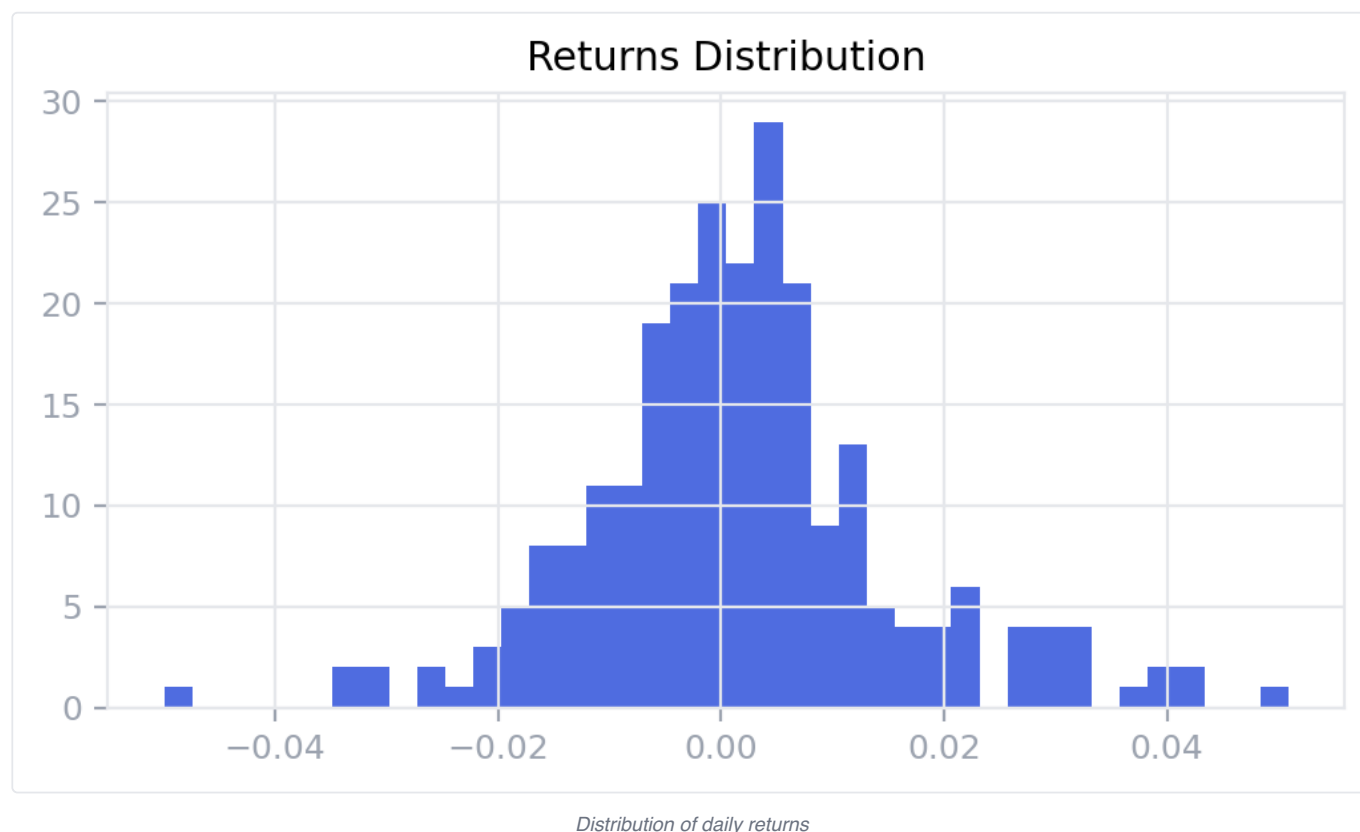
MACD vs. signal line

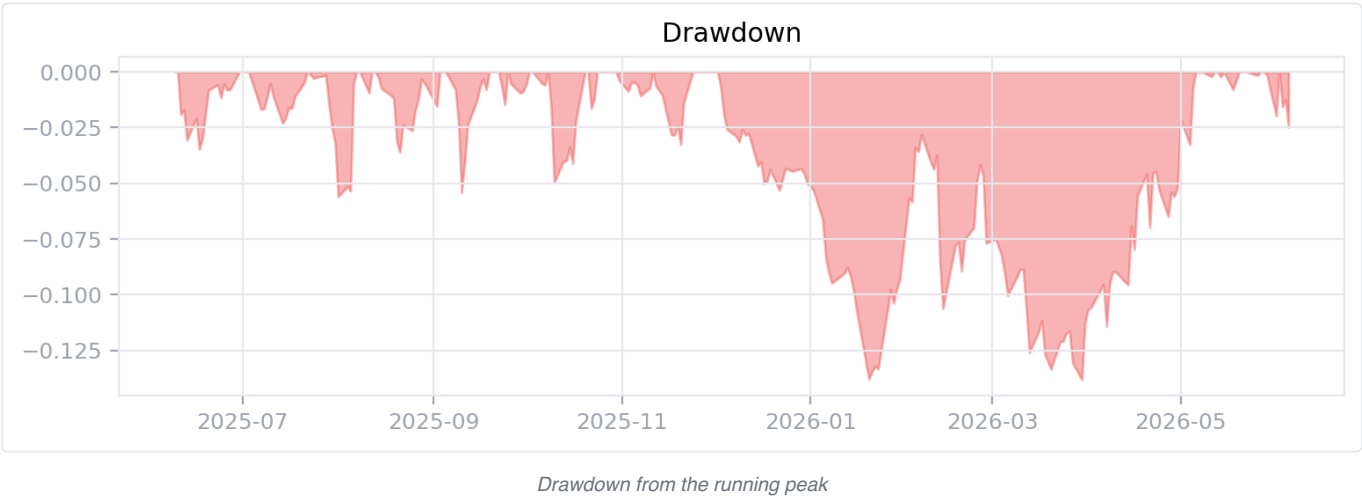
4 Fundamental Analysis

Apple's operational fundamentals are exceptional: the company achieves a profit margin of 27.15%, a return on equity of 141.47%, quarterly EPS growth of 19.40%, and revenue growth of 16.60%. These metrics reflect a dominant market position and superior capital efficiency. However, the valuation multiples are extreme: a P/E ratio of 37.25x and a P/B ratio of 42.33x imply the market has priced in sustained execution at near-perfect levels. The elevated debt-to-equity ratio of 79.55 introduces financial risk, and the stated dividend yield of 35.00% appears artificially inflated and potentially unsustainable at current price levels.

5 Risk Assessment

The primary risk is valuation compression. Apple's DCF fair value of \$99.54 sits 68% below the current price, with even the bull case of \$123.99 implying 60% downside and the bear case of \$81.32 representing 73% downside potential. While the company's defensive beta of 0.91 and solid Sharpe ratio of 1.96 provide some risk-adjusted cushion, and the maximum drawdown of -13.82% has been contained relative to peers, the magnitude of fundamental overvaluation poses asymmetric downside risk. Elevated leverage (debt-to-equity of 79.55), annualized volatility of 22.37%, and downside deviation of 13.74% heighten the potential for material losses should mean reversion occur. The Value at Risk at 95% confidence level of 1.88% daily loss, combined with elevated valuation multiples, means that future volatility will likely compound downside pressure.





6 Valuation & Forecast

Apple trades at a 209% premium to its DCF fair value of \$99.54, representing a severe and difficult-to-justify valuation disconnect. The current price of \$307.34 trades at 2–3x intrinsic value across all DCF scenarios, with the bull case of \$123.99 and bear case of \$81.32 both falling substantially below current levels. While the company's operational excellence —evidenced by 19.40% EPS growth, 27.15% profit margin, and 141.47% return on equity—is genuine, it does not support the 37.25x P/E ratio and 42.33x P/B ratio. A reversion to the base case DCF fair value would imply a -68% correction from current levels, presenting material asymmetric downside risk for new investors.

7 Recommendation

While Apple's operational fundamentals remain strong with exceptional profitability metrics and solid risk-adjusted returns reflected in the Sharpe ratio of 1.96, the current valuation is untenable for new long positions. The stock trades at a 209% premium to DCF fair value with minimal margin of safety, and technical momentum is decelerating as the MACD has crossed below its signal line. Existing shareholders should consider trimming positions to lock in gains given the asymmetric risk-reward profile. New investors should wait for a more favorable entry point closer to fundamental fair value to establish positions with appropriate margin of safety.

Financial Detail

FUNDAMENTALS

P/E Ratio	37.25x
P/B Ratio	42.33x
Debt/Equity	79.55
Return on Equity	141.47%
EPS Growth (Q)	19.40%
Profit Margin	27.15%
Revenue Growth	16.60%
Dividend Yield	35.00%
Market Cap	\$4.51T

RISK METRICS

Beta (vs SPY)	0.91
Annualized Volatility	22.37%
Average True Range	\$5.73
Max Drawdown	-13.82%
Sharpe Ratio	1.96
Value at Risk (95%)	1.88%
Downside Deviation	13.74%

VALUATION

DCF Enterprise Value	\$1.46T
DCF Fair Value / Share	\$99.54
DCF Value — Base Case	\$99.54

DCF Value — Bull Case	\$123.99
DCF Value — Bear Case	\$81.32

DCF ENTERPRISE VALUE SENSITIVITY (\$B)

Growth \ WACC	8%	10%	12%
3%	1,795	1,345	1,074
5%	1,958	1,462	1,165
7%	2,132	1,588	1,262

Recent Headlines

- Broadcom's sell-off just entered megacap history
- Apple Set To Introduce AI-Powered Siri Digital Assistant At WWDC
- What Is The Biggest Threat To Google Stock?
- AI Layoffs Already Have Surpassed Last Year’s Total. Tech Workers Are Being Cut First.
- Apple Stock Nears All-Time High: Where Will It End The Year?
- Why June 8 Could Be a Huge Day for Apple Stock
- Apple bets its AI future on Monday's WWDC
- Apple's WWDC Hinges on Siri and AI
- Hon Hai Revenue Jumps 34% As AI Server Demand Accelerates
- Apple WWDC Preview Puts Siri in Focus

Verification Audit

43 supported · 1 contradicted · 0 unsupported — 44 atomic claims reconciled against the computed ground-truth	
STATUS	DETAIL
contradicted	MACD has crossed above its signal line (MACD: 8.46 is approaching but the signal line is 9.40, indicating a recent or near-term bullish crossover scenario, or the MACD is below the signal line, contradicting a "below" cross claim).

A Appendix — Computed Metrics

TECHNICAL

Last Close	\$307.34
SMA 50	\$281.24
SMA 200	\$265.19
RSI (14)	58.28
MACD	8.46
Signal Line	9.40
Bollinger Upper	\$318.22
Bollinger Lower	\$290.29
52-Week High	\$315.20
52-Week Low	\$195.64

FUNDAMENTAL

P/E Ratio	37.25x
P/B Ratio	42.33x
Debt/Equity	79.55
Return on Equity	141.47%
EPS Growth (Q)	19.40%
Profit Margin	27.15%
Revenue Growth	16.60%
Dividend Yield	35.00%
Market Cap	\$4.51T

RISK

Beta (vs SPY)	0.91
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VALUATION

DCF Enterprise Value	\$1.46T
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Annualized Volatility	22.37%	DCF Fair Value / Share	\$99.54
Average True Range	\$5.73	DCF Value — Base Case	\$99.54
Max Drawdown	−13.82%	DCF Value — Bull Case	\$123.99
Sharpe Ratio	1.96	DCF Value — Bear Case	\$81.32
Value at Risk (95%)	1.88%		
Downside Deviation	13.74%		

SENTIMENT

News Sentiment	−0.06
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DISCLOSURES

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